

Research Briefing | Eurozone

Germany's self-scaling and targeted fiscal 'bazooka'

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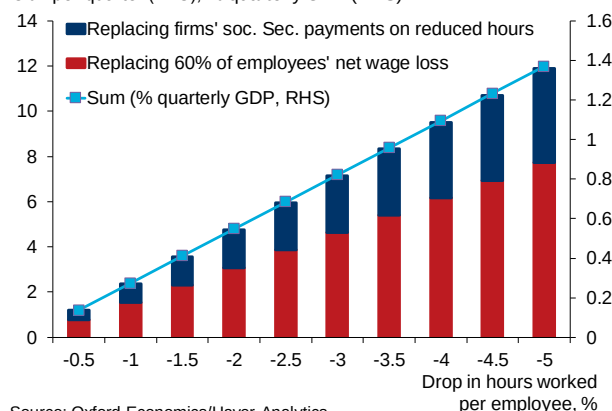
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- The government has put in place a far-reaching and credible guarantee, that it will use all its considerable fiscal might to contain the economic fallout from this crisis. The package is dominated by targeted measures to limit the fallout from the looming disruptions. But finance minister Scholz and economics minister Altmaier have also assured that a proper fiscal stimulus program will be forthcoming should it be needed once containment measures are reduced.
- The self-scaling nature of the targeted measures means their costs are a priori unknown. An 'unlimited' government-backed credit program via the state-owned KfW bank was the eye catcher. The liquidity boosting effect will be reinforced by broad tax deferrals. With a bit of luck, both steps could turn out to be fairly cheap. This adds to the previously announced subsidised reduction in working hours (Kurzarbeit), which could easily cost several billion euro.
- The size and form of the targeted measures was largely expected and should be fairly effective in containing the immediate damage from the containment measures in coming months. By themselves, we would not characterize this as a bazooka as Scholz did, though. And we still think that a broader fiscal response will be required eventually to boost the expected economic recovery.
- Yet, the main message out of Berlin in recent days was that neither the 'black zero' nor the debt brake will stand in the way of an effective fiscal response as the scale of the crisis becomes clear. This is encouraging and could help prop up business and market sentiment as it measurably raises chances of a swift economic bounce-back once the initial shock has passed.

Figure 1: The costs of Germany's targeted steps will largely depend on the extent of the economic disruptions

Germany: Fiscal costs of Kurzarbeit

€ bn per quarter (LHS), % quarterly GDP (RHS)



Source: Oxford Economics/Haver Analytics

'Kurzarbeitergeld' is a highly effective program used extensively during the great financial crisis. It subsidises a reduction in working hours reducing the need for payroll cuts. The costs fully depend on the size of the economic crisis. But a rough approximation implies costs of over 0.5% of quarterly GDP for a temporary reduction of working hours by 2% for one quarter.

A comprehensive and targeted fiscal package delivered in a confident way

This Friday, German finance minister Olaf Scholz (SPD) and economics minister Peter Altmaier (CDU) announced details of the government's targeted fiscal response ([plan in German](#)) to the looming downturn. This comes less than one week after coalition leaders met to sketch out the rough shape of the package and it follows a series of fiscal announcements from various capitals across Europe. And it comes only one day after the [ECB put in place its own package](#) to protect businesses and banks from the imminent disruptions, which was accompanied by a plea to governments to take the appropriate fiscal steps. **All told, it increasingly looks like European policymakers are formulating appropriate and targeted, if likely still insufficient and not fully coordinated, responses.**

As regards the German package, this fiscal response was by-and-large expected. It focuses on propping up firm liquidity and reducing the risk of adverse second round effects on the labour market. The measures had been discussed publicly for weeks and several of them proofed highly (cost) effective during the great financial crisis. Given how relatively well Germany cruised through that downturn it is all but inevitable that these tools are being reactivated now. We will discuss their potential size below, but it is important to understand that most of the large numbers presented today are in the form of potential credit lines and do not necessarily mean increased public spending.

However, there was a notion of decisiveness in the delivery of the proposal by the two ministers that was unexpected. Not only have the conditions for the targeted measures been eased substantially. The ministers also made it very clear that additional fiscal steps will be taken, if and when it becomes clear that they are needed. This was likely in part meant to ease financial markets' and international observers' concerns that Germany would not act given the country's reputation as a fiscal hawk. This may also have contributed to the modest rise in Bund yields on Friday afternoon. But hopefully it will also help to prop up domestic businesses' and banks' confidence.

The message that an appropriate fiscal response would not be impeded by the country's self-imposed fiscal restraints had already been sent by Chancellor Merkel in recent days. She had brushed away questions about the 'black zero' (balanced federal budget) in recent days and later about the debt brake, for instance pointing out that the debt brake has an escape clause for emergencies allowing larger deficits. In this context, it may be important to remember that Germany had one of the largest stimulus packages during the financial crisis. Overall, we are encouraged by today's package, though not surprised, that Germany would respond fiscally once the economic pressure got too high.

A subsidised reduction in hours worked should help to limit the increase in unemployment, but can carry large fiscal costs

The potentially costly return of Kurzarbeitergeld

What sets Germany's fiscal response apart from that of its European neighbours is that it is by-and-large self-scaling making it impossible at this stage to put a cost to it as it will primarily depend on the depth of the economic downturn. This may weaken the announcement-effect, but we will try to argue below that the measures are sizeable.

Out of today's three main measures, the Kurzarbeitergeld is probably the best example of this and it is a tool that most other countries do not have. This rule allows firms to temporarily reduce their employees' working hours with the unemployment insurance bearing most of the associated costs. Workers will receive 60% of their net wage loss, while firms will be reimbursed for the social security contributions, they would usually still have to pay on the reduced working hours. This is meant to reduce the costs of retaining labour through a soft patch and can be thought of as an additional automatic stabiliser

reducing the number of people temporarily falling into unemployment. Conditions to access this measure have been eased and passed parliamentary approval on Friday.

The complex nature of the rules makes this a rough estimate, but we gather that a temporary cut of 2% in the number of hours of worked by all employees in Q2 triggered by the containment measures could easily cost around €5bn or over 0.5% of that quarter's GDP (Figure 1). We are currently revising our European growth forecasts further as we now assume broader containment measures given the rapid spread of the virus. For Germany, this may trigger a temporary drop in GDP of 2% or more in Q2. This risk highlights, that the fiscal costs of Kurzarbeit can rapidly increase.

Tax deferrals: A cheap way to prop up firm liquidity

The fiscal package also contained the promise of sizeable tax deferrals and related steps mentioning that this would prop up firms' liquidity by "several billion euro". This has been discussed or agreed by several other countries and represents a very well targeted step to support businesses. And it won't even cost Berlin anything in light of negative government bond yields. **But it may temporarily raise the government's own borrowing to meet current expenditure. This may be welcomed by the ECB as it also reduces the binding nature of its self-imposed QE limits.** Interestingly, and uncharacteristically un-German, firms' requests for these tax deferrals are not to be scrutinized too heavily to speed up processing and ensure that a maximum of firms can benefit. Again, the larger the hit to firms the larger the temporary revenue shortfall, which would come on top of the underlying revenue loss from the likely imminent recession.

Protective shield: Unknown costs to protect firms' credit access

The last maybe most eye-catching measure from today was the announcement of an "unlimited" credit line to firms in need of liquidity. This will be administered by the state-owned KfW development bank via firms' commercial banks. Initially, the existing credit guarantees can back €460bn of KfW credit, which can be quickly increased by €93bn with the option to go further, in case that should become necessary. **To put this into perspective, even the current government guarantees could back 25% of non-financial firms' existing total loans.** There was a round of additional credit and liquidity supporting measures announced today and the conditions to access a series of existing programmes was further eased.

These credit and liquidity measures should reinforce the impact from the ECB's comprehensive package to protect credit conditions and should give worrying banks sufficient incentive to provide unhindered access to credit over the coming months much-reducing risks of a credit crunch that hit large parts of Europe during the last crisis. This could help limit the adverse hit to firms' employment and investment intentions and thereby facilitate the recovery after virus-related disruptions fade.

The costs of the credit program are highly dependent on how many firms request such credit lines and how many firms go bankrupt eventually. We see the willingness to take on such fiscal risks as a welcome sign of the government's understanding of the potential severity of the coming downturn. But given the high levels of equity that German firms have built up over recent years and our view that this should be a sharp but only temporary shock, even this large program may ultimately turn out to be an effective but cheap way to reduce downside risks in the face of heightened economic uncertainty.